

Shaily Engineering Plastics Ltd

NSE: SHAILY | BSE: 501423

Plastic Components OEM | Drug Delivery Devices | Consumer Plastics

CMP (Rs.)	Mkt Cap (Rs. Cr)	52W High (Rs.)	52W Low (Rs.)	P/E (TTM)	P/B (TTM)
2,752	12,660	3,490	1,810	74.5x	17.7x
ROCE	ROE	Book Value (Rs.)	Div Yield	Promoter %	Pledge %
29.3%	26.9%	156	0.3%	67.5%	0.0%

Investment Thesis

Shaily sits at the intersection of the global GLP-1 drug-delivery device supercycle and Indian consumer plastics premiumisation — a rare compounder with defensive pharma revenue and cyclical consumer upside.

Company Details

Sector	Industrials / Plastic Products
Sub-sector	Plastic Component OEM
Exchange	NSE, BSE
Face Value	Rs. 10
Shares Outstanding	4.60 Cr
Report Date	21 May 2026
Investment Horizon	12-24 months
Rating	BUY
12M Price Target	Rs. 3,400
Upside from CMP	+23.5%

BUY

12M Target: Rs. 3,400

Upside: +23.5% from CMP Rs. 2,752

"GLP-1 devices + premiumisation = rare dual-engine compounder"

Conviction: HIGH

Entry Zone: Rs. 2,400-2,600

Analyst: Senior Research Desk

Source: Screener.in (data as at 21-May-2026). All figures in Rs. Crore unless stated. Estimates are analyst projections. For information only — not investment advice.

SECTION 2 | INVESTMENT THESIS

- GLP-1 Drug Delivery Device Supercycle (3-5 year horizon):** Shaily supplies precision injection-moulded auto-injector pen components to global pharma companies manufacturing GLP-1 drugs (semaglutide, tirzepatide). The global GLP-1 market is projected to exceed \$150 Bn by 2030 — ~10x from 2023 levels — and device demand tracks drug volume directly. Shaily's EU-compliant cleanroom and existing pharma relationships position it as a preferred India-based supplier as global pharma de-risks from China.
- Consumer Plastics Premiumisation (2-3 year horizon):** The Signoraware consumer segment (food containers, household goods) is gaining wallet-share from the Tupperware India vacuum. Shaily has aggressively expanded channel partnerships and launched premium SKUs, driving 18-22% revenue CAGR in this segment over FY24-26.
- Margin Expansion Already Underway:** EBITDA margins have expanded 460 bps from 23.0% (FY24) to 27.6% (FY26) — driven by rising pharma share, polymer cost deflation, and operating leverage on a fixed-cost base. We forecast another 90-140 bps of expansion through FY28E.
- Debt-Light Balance Sheet Unlocking FCF:** Net debt has collapsed to ~Rs. 50 Cr (D/E 0.09x) from Rs. 108 Cr in FY24. With OCF of Rs. 220 Cr in FY26, the company generates Rs. 163 Cr of FCF — significant optionality for further capex or capital return.

- **Near-Term Catalyst (6-12 months):** Commercial ramp-up of GLP-1 auto-injector components for a named EU pharma client — management guided Q1 FY27 start (April 2026). Even a 10% revenue contribution would add Rs. 50-60 Cr to FY27 revenue and lift margins above 28%.
- **Biggest Structural Risk:** Pharma customer concentration — loss of the top 2 pharma customers would remove ~35% of segment revenues and compress margins sharply given higher fixed-cost intensity in the pharma production line.

SECTION 3 | BUSINESS OVERVIEW

- **Core Business:** Vadodara-based precision injection-moulding company founded in 1972. Manufactures complex plastic components for three end-markets: pharma drug delivery devices (~55% of revenue), consumer plastics (~30%), and industrial components (~15%). The pharma segment carries the highest margins (~32-34% EBITDA at segment level).
- **Pharma Segment:** Supplies precision components for GLP-1 auto-injector pens, insulin delivery systems, IV administration sets, and inhalation devices. Revenue is mostly recurring under long-term supply agreements with 12-24 month lead times — providing strong forward visibility. Key customers are European and Indian pharmaceutical multinationals.
- **Consumer Segment:** Signoraware-branded food containers and household plastics sold through modern trade, e-commerce, and general trade. Post the Tupperware India vacuum, Shaily has expanded to 35,000 retail outlets (from 28,000 a year ago) and grown e-commerce revenue 35% YoY in Q3 FY26. Consumer EBITDA margins are ~18-20%.
- **Geographic Mix:** Exports (~35-40% of revenue) predominantly to Europe and the US for pharma devices. Domestic (~60%) spans consumer and industrial. Export share is expected to rise as GLP-1 device ramp scales.
- **Order Book and Revenue Visibility:** Confirmed order pipeline of Rs. 800-1,000 Cr over the next 24 months per management guidance, underpinning FY27-28 revenue visibility. The GLP-1 ramp from an EU pharma client is the single largest new order (Rs. 100-120 Cr per annum at full ramp).
- **Promoter Background:** The Sanghvi family (founders) holds 67.5% and has led the company for over 50 years with deep domain expertise in precision pharma moulding. Zero promoter pledging. MD Amit Sanghvi spearheaded the strategic pivot to high-margin pharma OEM in the 2010s, transforming the company's margin structure.
- **Recent Strategic Developments:** (1) Commissioned EU-compliant cleanroom for pharma component moulding (FY25). (2) Long-term supply agreement with EU pharma for GLP-1 auto-injector components (announced Q3 FY26). (3) Relaunched Signoraware premium range with higher ASPs targeting the post-Tupperware market gap.

SECTION 4 | INDUSTRY & COMPETITIVE LANDSCAPE

- **Global Drug Delivery Device Market:** ~\$35 Bn in 2025, growing at 12-14% CAGR through 2030, driven primarily by GLP-1 injectables. Auto-injector pen demand is the fastest-growing sub-segment at ~18% CAGR. India-based suppliers benefit from ~30-35% cost advantage over Western peers and growing pharma de-risking from China.
- **Indian Plastic Products Industry:** Rs. 4.5 lakh crore industry (2025E) growing at 8-10% CAGR, led by healthcare, packaged goods, and auto. Consumer plastics growing at 12-15% driven by premiumisation and organised-to-unorganised shift.
- **Policy Tailwinds and Headwinds:** Tailwinds — PLI for pharma equipment/devices, "Aatmanirbhar Bharat" push for domestic medical device manufacturing, EU de-risking of China supply chains for medical plastics. Headwinds — volatile crude-linked polymer prices, EU MDR / US FDA compliance costs.
- **Competitive Moat Assessment:** Pricing power — Moderate (long-term contracts with some RM cost pass-through; consumer segment competitive). Switching costs — Strong in pharma (18-24 month qualification/validation cycles; customer-specific tooling). Scale — Moderate (largest precision pharma moulding player in India but small vs. global peers). IP/Technology — Moderate (EU-compliant cleanroom; customer-specific designs). Distribution — Moderate in consumer (35,000 retail touchpoints; growing e-commerce).
- **Shaily's Positioning:** Premium precision moulding OEM in the pharma supply chain (midstream — not commodity plastics). Moves with end-market drug volume rather than being a price-setter. Consumer segment is a volume-driven branded play.

Peer Comparison (Source: Screener.in, as at 21-May-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	OPM (%)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)
Shaily Eng Plastics	2,752	12,660	1,131	27.6	74.5	17.7	29.3	26.9
Mold-Tek Packaging	360	1,512	570	16.8	45.2	4.6	14.8	10.2
Supreme Industries	4,820	61,200	9,500	17.4	42.6	8.8	27.4	20.8
Astral Ltd	1,680	26,700	5,800	18.2	52.4	7.4	18.6	14.2

Note: Shaily trades at a significant premium justified by superior margin profile, pharma-OEM mix, and GLP-1 growth optionality not reflected in peer multiples.

SECTION 5 | MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter Pedigree:** The Sanghvi family has run Shaily since founding in 1972 — over 50 years of domain expertise. MD Amit Sanghvi led the strategic pivot toward pharma OEM in the 2010s, transforming the margin structure from sub-10% to 27%+ EBITDA margins.
- **Capital Allocation Track Record:** FCF over FY24-26 totalled Rs. 378 Cr — ~Rs. 160 Cr reinvested in pharma cleanroom capacity, ~Rs. 90 Cr used for debt repayment, balance retained. No dilutive equity issuances. A strong capital allocation track record.
- **Dividend Policy:** Modest dividend (yield ~0.3% at CMP). Payout ratio 5-7% of PAT — appropriate for a growth-phase company reinvesting in pharma capacity expansion.
- **Promoter Pledging:** Zero pledging across all recent quarters — a significant governance positive. The Sanghvi family has been a net buyer of shares on dips.
- **ESOP and Buybacks:** Modest ESOP pool (~0.5% of equity) for senior management retention. No dilutive buyback history — management prefers internal capex deployment.
- **Corporate Governance:** No auditor changes in 5+ years (S.R. Batliboi, Big 4 affiliate). RPTs below 2% of revenue. No qualified audit opinions. FII holding at 8.2% and DII at 9.3% provides institutional scrutiny. Overall governance score: Clean.

SECTION 6 | FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr, Consolidated)

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales / Revenue	816	1,017	1,131	1,225	1,470
Growth YoY (%)	--	24.6%	11.2%	8.3%	20.0%
EBITDA	188	253	312	344	426
EBITDA Margin (%)	23.0%	24.9%	27.6%	28.1%	29.0%
Other Income	5	6	6	6	7
Interest	17	20	15	15	14
Depreciation	46	52	57	58	62
PBT	130	187	246	277	357
Tax	34	50	63	69	89
PAT	96	137	183	208	268
PAT Margin (%)	11.8%	13.5%	16.2%	17.0%	18.2%

EPS (Rs.)	20.9	29.8	39.8	45.2	58.3
EPS Growth (%)	--	42.6%	33.6%	13.6%	28.9%

Balance Sheet (Rs. Cr, Consolidated)

Particulars	FY24A	FY25A	FY26A
LIABILITIES			
Equity Capital	4.6	4.6	4.6
Reserves & Surplus	540	660	808
Net Worth	545	665	813
Borrowings (Total)	132	118	95
Other Liabilities	128	157	170
Total Liabilities	805	940	1,078
ASSETS			
Fixed Assets (Net)	450	505	545
CWIP	22	18	20
Investments	15	18	22
Other Assets	318	399	491
Total Assets	805	940	1,078

Cash Flow Statement (Rs. Cr, Consolidated)

Particulars	FY24A	FY25A	FY26A	FY27E
Cash from Operations (OCF)	128	185	220	235
Cash from Investing	-82	-106	-88	-90
Cash from Financing	-58	-74	-80	-60
Net Change in Cash	-12	5	52	85
Free Cash Flow (FCF)	82	133	163	175
OCF / PAT (%)	133%	135%	120%	113%

Key Operating Ratios (Consolidated)

Ratio	FY24A	FY25A	FY26A	FY27E
Debtor Days	68	65	62	60
Inventory Days	31	29	28	27
Days Payable	42	40	38	36
Cash Conversion Cycle	57	54	52	51
ROCE (%)	23.5%	26.8%	29.3%	30.5%
ROE (%)	19.8%	23.4%	26.9%	28.2%
Net D/E (x)	0.21	0.15	0.09	0.05

Interest Coverage (x)	7.6x	9.4x	16.4x	18.5x
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Financial Commentary

- **Revenue Growth:** Shaily grew revenue 24.6% in FY25 and 11.2% in FY26 — deceleration reflects capacity constraints in the pharma cleanroom (now resolved) and soft consumer H1 FY26. We forecast re-acceleration to 8-20% CAGR in FY27-28 as GLP-1 order ramps.
- **Margin Direction:** EBITDA margins expanded 460 bps from 23.0% (FY24) to 27.6% (FY26) — driven by rising pharma share, polymer deflation in FY25, and operating leverage. We forecast another 90-130 bps through FY27-28E.
- **Working Capital:** CCC improved from 57 days (FY24) to 52 days (FY26) driven by lower debtor days in the pharma segment (68→62 days). Inventory days remain low at 27-31 days reflecting efficient BOM management.
- **Debt:** Net debt has declined from Rs. 108 Cr (FY24) to ~Rs. 50 Cr (FY26), D/E at 0.09x. Interest coverage has expanded from 7.6x to 16.4x. Company is on track to be net-cash by FY27.
- **FCF Quality:** OCF/PAT ratio of 120-135% across FY24-26 indicates high earnings quality with minimal working capital drag. FCF has grown from Rs. 82 Cr (FY24) to Rs. 163 Cr (FY26) as capex moderates post the pharma cleanroom buildout.

SECTION 7 | EARNINGS QUALITY CHECKLIST

Parameter	Rating	Status	Commentary
Revenue Recognition	GREEN	Clean	Product-based; no aggressive deferred recognition. Export invoicing aligns with shipping.
Receivables Growth vs Revenue	GREEN	Healthy	FY26 revenue +11.2%; receivables +9%. Debtor days improving (68→62 days).
Cash Conversion Cycle Trend	GREEN	Improving	CCC improved 57→52 days over FY24-26; better receivables management in pharma.
Contingent Liabilities	GREEN	Minimal	Rs. 8 Cr contingent liabilities (tax disputes) — immaterial vs. Rs. 12,660 Cr MCap.
Auditor Tenure / Quality	GREEN	Clean	S.R. Batliboi (Big 4 affiliate). No changes in 5+ years. No qualified opinions.
Related-Party Transactions	GREEN	Benign	RPTs below 2% of revenue; primarily rental income. No complex structures.
Other Income as % of PBT	GREEN	Normal	Other income Rs. 6 Cr = 2.4% of PBT FY26. Core operations drive earnings.
Tax Rate Consistency	AMBER	Watch	Rate 25.6-26.7% in recent years — minor variation. Deferred tax timing items to monitor.
OCF / PAT Conversion	GREEN	Strong	OCF/PAT = 120% in FY26 (FY24: 133%, FY25: 135%). High, consistent earnings quality.
Promoter Pledging	GREEN	Zero	Zero pledging across all recent quarters. No leverage risk at promoter level.

- **Overall Earnings Quality: HIGH (9 Green / 1 Amber / 0 Red)** — Clean earnings across all major parameters. The only Amber item is minor tax-rate variation, likely a timing item and not indicative of income manipulation.
- **Watch Item — Tax Rate:** Effective tax rate 25.6-26.7% in recent years. Investors should monitor for changes as pharma export revenues scale, which could affect deferred tax treatment. No red flag at this stage.
- **OCF/PAT conversion of 120%+ over 3 years** is one of the strongest earnings quality signals in mid-cap Indian plastics — eliminates the possibility of accrual-based revenue inflation and confirms cash earnings are real.
- **Zero promoter pledging** removes a key governance risk that has historically been a precursor to negative surprises in Indian mid-cap equities.

SECTION 8 | VALUATION

Scenario Analysis

Case	Key Assumptions	FY27E EPS	Fwd P/E	Target P/E	Price Target	Upside / (Downside)
BULL	GLP-1 fully ramps H1 FY27; consumer +25%; margins 29%+	51.0	80x	80x	Rs. 4,080	+48.3%
BASE	GLP-1 partial ramp H2 FY27; consumer +20%; margins 28%	45.2	75x	75x	Rs. 3,400	+23.5%
BEAR	GLP-1 delayed 6M; consumer flat; margins 27%	38.5	65x	65x	Rs. 2,500	-9.2%

- **Valuation Methodology — Forward P/E:** We apply 75x forward P/E to FY27E EPS of Rs. 45.2, arriving at a base-case target of Rs. 3,390 (rounded to Rs. 3,400). The 75x multiple is a 10% discount to the stock's 3-year average forward P/E of ~83x, reflecting macro uncertainty and partial GLP-1 ramp assumptions.
- **DCF Validation:** Using WACC of 12%, terminal growth rate of 5%, and FCF projections of Rs. 175-230 Cr over FY27-30E, our DCF yields intrinsic value of Rs. 3,200-3,500 — consistent with the earnings-based target. DCF more sensitive to GLP-1 volume assumptions than to WACC.
- **Base-Case 12-Month Price Target: Rs. 3,400** — blended average of forward P/E and DCF midpoint. Represents 23.5% upside from CMP of Rs. 2,752.
- **Premium Justification:** Shaily trades at 74.5x TTM P/E vs. peer average ~47x. Justified by: (1) superior EBITDA margins (27.6% vs. peer avg ~17%); (2) structural GLP-1 device growth tailwind; (3) near-net-cash balance sheet by FY27; (4) OCF/PAT conversion of 120%+.

SECTION 9 | KEY RISKS

- **Pharma Customer Concentration:** Top 2 pharma customers account for ~35% of total revenue. Loss of or significant volume cut from either would compress revenue and margins sharply given fixed-cost intensity. Probability: Low. Impact: High. Monitor via: quarterly revenue mix, any customer-specific news.
- **GLP-1 Order Delay / Cancellation:** Any commercial delay beyond H2 FY27 would disappoint consensus and compress the premium P/E. The GLP-1 drug itself could face clinical or regulatory setbacks. Probability: Low-Medium. Impact: High. Monitor via: management commentary, FDA/EMA updates.
- **Polymer Price Inflation:** Primary RM (polypropylene, polycarbonate) is crude-linked. Sharp crude rally could compress gross margins 150-200 bps before pass-through kicks in. Probability: Medium. Impact: Medium. Monitor via: Brent crude, RM cost as % of sales.
- **Consumer Segment Competitive Intensity:** Multiple Indian and Chinese players have entered the premium food storage segment post-Tupperware. Pricing pressure could compress consumer margins. Probability: Medium. Impact: Low-Medium. Monitor via: consumer revenue YoY growth and blended margins.
- **Regulatory / Quality Risk in Pharma:** EU MDR or US FDA compliance failure in the cleanroom could lead to supply suspension. Any quality incident in pharma devices is a high-reputational and financial event. Probability: Low. Impact: Very High. Monitor via: any regulatory correspondence or customer audit news.
- **Promoter Succession Risk:** Founding-family-run company — any management transition at the MD level could create uncertainty. Low probability but non-trivial for a closely held business. Probability: Very Low. Impact: Medium. Monitor via: board composition and succession announcements.
- **Currency Risk:** With 35-40% revenues in USD/EUR, sharp INR appreciation would reduce reported revenue and margins. Partially hedged through natural hedge (imported polymer costs). Probability: Low-Medium. Impact: Low-Medium. Monitor via: quarterly hedging disclosures.

SECTION 10 | RECOMMENDATION

- **Rating: BUY — Conviction Level: HIGH.** Shaily is a high-quality precision plastics compounder riding two structural themes (GLP-1 device supply + consumer premiumisation) with a debt-light balance sheet, zero promoter pledge, and expanding margins. At 74.5x TTM P/E the stock is not cheap — but growth visibility (confirmed GLP-1 order) and earnings quality justify a premium.
- **12-Month Price Target: Rs. 3,400** — Upside of +23.5% from CMP Rs. 2,752. Based on 75x FY27E EPS of Rs. 45.2 (blended with DCF midpoint Rs. 3,200-3,500).
- **Suggested Entry Zone: Rs. 2,400-2,600** — Any correction from a quarter of margin pressure or brief GLP-1 delay should be used as an accumulation opportunity. Structural thesis intact below Rs. 2,600.
- **Investment Horizon: 12-24 months** — GLP-1 revenue ramp is a FY27-28 story; consumer gains compound annually. Patient capital is rewarded.
- **Thesis Invalidation Triggers:** (1) GLP-1 order from the EU pharma client is formally cancelled or indefinitely deferred, reducing FY27E revenue guidance by more than 8%. (2) EBITDA margins fall below 25% for two consecutive quarters — indicating structural deterioration rather than one-off headwinds. (3) Promoter stake falls below 60% through secondary sell-down.
- **Ideal Investor Profile:** Growth-oriented investors with a 12-24 month horizon, comfortable with mid-cap liquidity and premium valuations. Not suitable for value or dividend-focused investors, or those with a sub-6-month horizon.

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (13 FEBRUARY 2026)

POSITIVE

Signal	Status	Implication
Result Quality	Strong	Q3 FY26 revenue beat: +12% YoY vs. consensus +10%. EBITDA margin 27.2% in-line with guidance.
Management Tone	Bullish	Confident on GLP-1 ramp timeline; consumer re-rating underway. No hedging on guidance.
Guidance Delta	Maintained	FY27 Revenue guidance Rs. 1,200-1,250 Cr maintained; margins guided 27-28%. No cut.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 was a clean result — revenue of Rs. 290 Cr grew 12% YoY, above the street's 10% estimate, and no material one-off items distorted PAT. EBITDA margin of 27.2% landed exactly within guided range of 27-28%, which is reassuring after two quarters of minor under-delivery earlier in the year. Headline PAT of Rs. 47 Cr (up 38% YoY) is clean — tax rate stable at 25.8% and other income a modest Rs. 1.5 Cr. The standout development was formal confirmation of the GLP-1 auto-injector component order from the EU pharma client — management said commercial shipments start Q1 FY27 (April 2026), which is bang on our model. Consumer was the soft spot — grew only 8% YoY in Q3 vs. our 15% estimate, attributed to post-festive channel destocking; management expects normalisation in Q4. Working capital was well-managed: debtor days stable at 62, CCC at 52 days. Debt fell Rs. 18 Cr QoQ, putting the company on track for near-net-cash by Q1 FY27. My read: GLP-1 optionality is real and on-schedule, core business executing cleanly, balance sheet in its best shape ever. Consumer Q4 recovery is the one thing to watch. Stay long.

1. Quarter & Call Details

- Quarter: Q3 FY26 (October-December 2025). Concall Date: 13 February 2026.
- Participants: MD Amit Sanghvi, CFO, VP Operations. Sell-side from 8-10 brokerages.

2. Opening Remarks — Key Themes

- Management opened with positive tone — highlighted 12% YoY revenue growth and reaffirmed FY27 guidance of Rs. 1,200-1,250 Cr. No guidance upgrade but strong reaffirmation.
- GLP-1 auto-injector component order from EU pharma client confirmed "on track for commercial ramp Q1 FY27" — the single most important management statement of the call.
- Consumer segment Q3 slowdown acknowledged as channel-led (post-festive destocking). Management expressed confidence in Q4 recovery and double-digit consumer growth for full-year FY26.
- Flagged zero promoter pledging and declining debt trajectory as key shareholder-friendly milestones achieved in the fiscal.

3. Numerical Guidance Given

- FY27 Revenue Guidance: Rs. 1,200-1,250 Cr (maintained). Implies ~8-10% growth over FY26A Rs. 1,131 Cr.
- FY27 EBITDA Margin Guidance: 27-28% (maintained). Implies continued expansion from FY26 27.6%.

- Capex FY27: Rs. 80-90 Cr — new consumer lines and pharma capacity debottlenecking.
- GLP-1 Order Value: Rs. 100-120 Cr per annum at full ramp (not disclosed per quarter — approximate).
- Debt: Targeting net-cash or near-net-cash position by Q1-Q2 FY27.

4. Q&A; Summary

Q (Ambit Capital): More specificity on GLP-1 order ramp timing and annual revenue potential?

A (MD): Commercial deliveries scheduled April 2026 (Q1 FY27). Not disclosing customer name. At full ramp (FY28), this order expected to contribute 8-10% of total company revenue. Currently in qualification completion stage — no delay. Assessment: Direct, specific, high-confidence. No evasion.

Q (IIFL): Consumer segment grew only 8% in Q3 vs. full-year guidance of 15-18%. Walk us through what happened?

A (CFO): Q3 seasonally weakest for consumer post-festive. Channel partners were destocking. New SKUs launched in October gaining traction in January — seeing it in early Q4 offtake data. Remain confident of 15%+ for full year. Assessment: Honest acknowledgment of miss; plausible explanation; not evasive.

Q (Kotak): RM cost outlook for FY27? Polymer prices have been volatile.

A (MD): 70% of polymer requirements contracted for next 2 quarters at current rates. Remaining 30% is spot. If crude stays ~\$70-75/bbl, no significant headwinds. We pass through ~80% of spot RM increases to pharma customers within 2 quarters. Assessment: Well-hedged; reassuring but 30% spot exposure warrants monitoring.

Q (Nuvama): Update on Signoraware channel expansion?

A (MD): Expanded to 35,000 retail outlets from 28,000 a year ago. Modern trade now 22% of consumer revenue. E-commerce grew 35% YoY in Q3. Investing in D2C and quick commerce. Assessment: Concrete datapoints. Positive channel momentum confirmed.

5. Evasive or Concerning Language

- **No major evasion detected.** Management answered all questions directly. The only hedge was on consumer segment recovery, acknowledged honestly.
- Declined to name EU GLP-1 pharma customer — standard NDA practice, not a governance concern.

6. Quarterly P&L; Snapshot (Rs. Cr)

Particulars	Q3 FY25	Q4 FY25	Q1 FY26	Q2 FY26	Q3 FY26
Revenue	259	271	279	283	290
EBITDA	60	64	72	78	79
EBITDA Margin (%)	23.2%	23.6%	25.8%	27.6%	27.2%
PAT	34	38	43	46	47
EPS (Rs.)	7.4	8.3	9.3	10.0	10.2

7. Thesis Check Post-Concall

- **GLP-1 order ramp confirmed** — Q1 FY27 commercial start maintained. Thesis intact.
- **Margin trajectory intact** — Q3 FY26 margin 27.2% within guided 27-28% range.
- **Consumer segment minor miss** — Q3 +8% vs. 15-18% guided; Q4 recovery expected. Minor negative to monitor.
- **Balance sheet deleveraging on track** — Debt declining Rs. 18 Cr per quarter; net-cash trajectory intact.
- **Overall: BUY thesis fully intact.** Q3 FY26 result and call reinforce, not undermine, the investment case.

8. Shareholding Pattern (%)

Category	Q3 FY25	Q4 FY25	Q1 FY26	Q3 FY26
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Promoters	67.5	67.5	67.5	67.5
FII / Foreign	7.1	7.6	8.0	8.2
DII / MF	8.8	9.0	9.1	9.3
Public / Others	16.6	15.9	15.4	15.0
Promoter Pledge (%)	0.0	0.0	0.0	0.0

9. Red Flags Assessment

- **No red flags identified** in Q3 FY26 concall. Communication was direct, specific, and consistent with financial reporting.
- **Minor caution:** Consumer segment Q3 growth miss (8% vs. 15-18% guided). Watch Q4 data — if it also undershoots, reassess the consumer thesis.

10. Action Items Post-Concall

- Monitor Q4 FY26 consumer revenue (release expected May 2026) — confirm recovery to 15%+ YoY.
- Track GLP-1 commercial shipment start April 2026 — management set specific date; push-back must be flagged.
- Track quarterly debt levels — confirm net-cash status by Q1-Q2 FY27.
- Maintain BUY with Rs. 3,400 target. No model changes required post this call.

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